

been far better off if they didn't redeem in 2008. People do things that are not in their best interest. But there is a big difference between their making their own decision and my telling them what is in their best interest. If investors want to redeem, and I say they can't because there is a gate, and then I lose their money, that is a way different feeling than losing money for investors who have reached their own decision to stay in the fund.

How did you find the experience of working alone the second time around?

I enjoyed it.

What changed?

Just time. I got used to working alone. And I love investing.

What is your investment philosophy?

I am a reversion-to-the-mean thinker. We use standard deviation bands to define extreme readings.² For example, here is a chart of the S&P based on data going back to 1932. (I didn't want to use the run-up to the Depression and the early years of the Depression because I thought it would distort the data.) Using a 95 percent confidence band, the low is currently at 895 and the high is at 2,522. The argument is that you would have your maximum long position at the lower band and your maximum short position at the upper band.

But obviously, there are times where you can stay beyond the bands for a long period.

That's where we will lose money. For example, here is the tech bubble when we were net short, and the market kept going up.

How would your exposure vary based on the market's position relative to the extreme bands?

At the lower band, we would be 130 percent long and 20 percent short. At the midpoint, we would be 100 percent long and 50 percent short. We are 50 percent net long at the midpoint rather than neutral because of the long-term secular uptrend in stock prices. At the upper band, we would be 90 percent short and 20 percent long, or 70 percent net short. Our net